

think, *This one thing is rather boring. I can do other things because I am a genius.* So they start doing other things. You had a number of great macro traders decide to branch into multistrategy funds. It didn't work too well in 2008 when they were all exposed. One well-known macro trader wrote to his investors in 2008 that he had made them money, but it was all the other managers in the fund, trading an assortment of strategies, who lost all the money. Well, you hired them. You gave them all the money. We have seen that again and again in hedge funds. Managers diversify away from their expertise because they have made a lot of money and think they can do anything.

What is it about some traders that drives them away from what they do well to do things they may not do well?

I think deep down inside they know they are one-trick ponies, and that one thing could end.

But successful traders who are one-trick ponies, when that trick stops, they learn another trick.

That is exactly what happens, but some traders will change while their one trick is still working and destroy it. You need to be a bit obsessive to do the same thing 10 hours a day. People who are obsessive can become very good traders.

Are there any other traits that distinguish the successful traders?

Really good traders are also capable of changing their mind in an instant. They can be dogmatic in their opinion and then immediately change it. *This market is going higher. It's absolutely going up. No, it's definitely going down.* If you can't do that, you will get caught in a position and be wiped out.

Can you think of a personal experience where you completely changed your mind in an instant?

A perfect example was when Euro Disney was listed in the U.S. many years ago. It was already listed in Europe, but Blue Sky laws required a waiting period before it could be listed in the U.S. I built up this large position in anticipation of a burst of retail demand that would emerge when it was listed in the U.S. On the first day it became available to U.S.